To select the most promising shares, the investor faces obstacles. The first is in the assessment — the human fallibility factor. The second arises from the nature of competition. The third is from sheer perversity — the failure of the market to be logical. The investor may be wrong in his estimate of the future or even if he is right the current price may already reflect what he is anticipating. The point I am trying to stress is that in the end, the price movements of shares depend on a host of factors. Yet the basic issue remains. The share must have value. Its fundamentals must be good. Its management must be competent. This book will introduce you to the world of fundamental analysis and guide you through the factors that you should look at before you buy any shares.

The art of successful investment lies in the choice of those industries that are most likely to grow in the future and then in identifying the most promising companies in those industries. There are, however, pitfalls in the approach and one must be careful. It must, however, be remembered that:

- Obvious prospects for physical growth in a business do not translate into obvious profits for investors.
- Experts do not have dependable ways of concentrating on the most promising companies in the most promising industries.

There could also be imbalances on account of political happenings, speculations, demand and a host of other reasons. Further, as Adam Smith said:

> "Even if, by some magic, you knew the future growth rate of the little darling you just discovered, you do not really know how the market will capitalize that growth. Sometimes the market will pay twenty times earnings for company growing at an annual compounded rate of 30 percent; sometimes it will pay sixty times earnings for the same company. Sometime the market goes on a growth binge, especially when bonds and the more traditional securities do not seem to offer intriguing alternatives. At other times the alternatives are enticing enough to draw away some of the money that goes into pursuing growth. It all depends in the psychological climate of the time."

That is why he also added:

> "You can have no preconceived ideas. There are fundamentals in the market place, but the unexplored area is the emotional area. All the charts and breadth indicators and technical players are the statisticians attempts to describe an emotional state."

This is why finance theory does not support the belief that the fundamental approach, or for that matter any other approach be it technical